



CHAPTER xiii.

An Act to make further provision in reference to the undertakings and funds of the mayor aldermen and burgesses of the borough of Gillingham and with respect to their income and expenditure and for other purposes.

[27th July 1944.]

WHEREAS the mayor aldermen and burgesses of the borough of Gillingham (in this Act called "the Corporation") have established and are carrying on an electricity undertaking in pursuance of the Gillingham (Kent) Electric Lighting Order 1902 which was confirmed by the Electric Lighting Orders Confirmation (No. 4) Act 1902 and a pier undertaking in pursuance of the Gillingham Pier Order 1912 which was confirmed by the Pier and Harbour Orders Confirmation (No. 2) Act 1912: ^{2 Edw. 7. c. lxix.} ^{2 & 3 Geo. 5. c. cxlvi.}

And whereas it is expedient to make further provision in reference to the income and expenses of the Corporation including the income and expenses of the said undertakings and of any other undertakings of the Corporation from time to time existing:

And whereas it is expedient that the other provisions contained in this Act be enacted:

And whereas the purposes of this Act cannot be attained without the authority of Parliament:

And whereas in relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act 1933 have been observed: ^{23 & 24 Geo. 5. c. 51.}

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and

with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

Short title
and com-
mencement.

21 & 22 Geo. 5.
c. xvii.

1.—(1) This Act may be cited as the Gillingham Corporation Act 1944 and the Gillingham Corporation Act 1931 (in this Act called "the Act of 1931") and this Act may be jointly cited as the Gillingham Corporation Acts 1931 and 1944.

(2) This Act shall be deemed to have come into operation on the first day of April nineteen hundred and forty-four.

Interpretation.

2. In this Act unless the subject or context otherwise requires—

"The Corporation" means the mayor aldermen and burgesses of the borough of Gillingham;

"The general rate fund" and "the general rate" mean respectively the general rate fund and the general rate of the borough of Gillingham;

"Corporation undertakings" means the electricity and pier undertakings of the Corporation and any other undertaking of the Corporation as from time to time existing from which revenue is derived;

"Statutory security" means any security in which trustees are for the time being by or under any Act of Parliament passed or to be passed authorised to invest trust money and any mortgage bond debenture debenture stock stock or other security authorised by or under any Act of Parliament passed or to be passed of any county council or municipal corporation or other local authority as defined by section 34 (Definitions) of the Local Loans Act 1875 but does not include annuities rentcharges or securities transferable by delivery or any securities of the Corporation.

Receipts and
expenses.

3.—(1) Notwithstanding anything contained in any other Act or Order all moneys received by the Corporation whether on capital or revenue account including (but without prejudice to the generality of this provision)—

(a) all money received on account of the revenue of any of the Corporation undertakings; and

(b) interest and other annual proceeds received on the investments forming part of any fund accumulated for the redemption of debt or working capital or as a reserve renewals repairs depreciation contingency insurance consolidated loans superannuation or other

similar fund (including any interest payable to any such fund in pursuance of section 155 (Use of moneys forming part of reserve and other funds) of the Act of 1931 and of section 7 (Further provisions as to consolidated loans fund) of this Act);

shall be carried to and form part of the general rate fund and all payments and expenses made and incurred by the Corporation in respect of any such undertaking or in carrying into execution the powers and provisions of this or any other Act whether public or local (including interest on moneys borrowed by the Corporation and all sums required by law to be paid or transferred or which the Corporation may determine to pay or transfer to any such fund as is referred to in paragraph (b) of this subsection) shall be paid or transferred out of the general rate fund:

Provided that an amount equivalent to the interest and other annual proceeds as aforesaid shall (subject in the case of any of the said funds to any prescribed limit on the amount thereof) be credited in the accounts of the fund of the investments on which the same is received.

(2) Nothing in this section shall authorise the Corporation to apply capital money to any purpose other than purposes to which capital money is properly applicable.

4.—(1) The Corporation shall keep their accounts so as to distinguish capital from revenue and as to revenue so as to show under a separate heading or division in respect of each of the Corporation undertakings (each of which is in this section separately referred to as "the undertaking") on the one side all receipts in respect of the undertaking (including the income from any such fund as is referred to in paragraph (b) of subsection (1) of the last foregoing section authorised in connection with the undertaking) and on the other side all payments and expenses in respect of the undertaking such payments and expenses being divided so as also to show in each case the amounts representing—

- (a) the working and establishment expenses and cost of maintenance of the undertaking;
- (b) the interest on moneys borrowed by the Corporation for the purposes of or connected with the undertaking or used for those purposes in pursuance of section 155 (Use of moneys forming part of reserve and other funds) of the Act of 1931;
- (c) the requisite appropriations instalments or sinking fund payments in respect of moneys borrowed for the purposes of the undertaking;

- (d) all other expenses (if any) of the undertaking properly chargeable to revenue;
- (e) the amount (if any) paid to any reserve fund which the Corporation are from time to time authorised to maintain; and
- (f) any money expended on any of the purposes mentioned in section 5 (Application of general rate fund for certain purposes) of this Act other than the purpose mentioned in paragraph (e) of this subsection.

(2) The Corporation shall show in their accounts relating to the undertaking all items (including receipts and payments in respect of loans applicable thereto) which ought to be entered therein in order to show the financial position of the undertaking.

(3) In all cases in which the Corporation keep separate accounts for separate purposes they shall so far as reasonably practicable apportion between those accounts or carry to any of them any receipts credits payments and liabilities which from time to time ought to be so apportioned or carried.

Application
of general
rate fund
for certain
purposes.

5.—(1) If in respect of any year the moneys received by the Corporation on account of the revenue of any of the Corporation undertakings (including the interest and other annual proceeds received by the Corporation in that year on the investments representing or forming part of any such fund as is referred to in paragraph (b) of subsection (1) of section 3 (Receipts and expenses) of this Act provided in connection with the undertaking) shall exceed the moneys expended or applied by the Corporation in respect of that undertaking for the several purposes mentioned in paragraphs (a) (b) (c) and (d) of subsection (1) of section 4 (Accounts) of this Act the Corporation may in respect of that year (if they think fit) apply out of the general rate fund a sum not exceeding the amount of such excess to any of the following purposes:—

- (a) In the reduction of capital moneys borrowed for the purpose of the undertaking;
- (b) In the renewal and (subject in the case of the electricity undertaking to the consent of the Electricity Commissioners as respects expenditure chargeable to capital account) the construction extension or improvement of any works and conveniences for the purposes of the undertaking;
- (c) In providing a reserve fund in respect of the undertaking by setting aside such an amount as the Corporation may from time to time think reasonable and (unless the amounts so set aside are used under the

provisions of section 155 (Use of moneys forming part of reserve and other funds) of the Act of 1931 or of section 7 (Further provisions as to consolidated loans fund) of this Act) investing the same in statutory securities until the reserve fund so provided amounts—

(i) in the case of the electricity undertaking to a sum equal to one-tenth of the aggregate capital expenditure of the Corporation on that undertaking; and

(ii) in the case of any other undertaking to the maximum reserve fund for the time being prescribed by the Corporation;

(d) In the case of the electricity undertaking in providing subject to the consent of the Electricity Commissioners a fund for working capital but the aggregate amount of such fund shall not at any time exceed a sum equivalent to one half of the gross annual revenue of the undertaking for the time being.

(2) Any reserve fund which has been provided in respect of any of the Corporation undertakings and which was in existence at the commencement of this Act shall be carried to and form part of any reserve fund provided under this section in respect of such undertaking.

(3) Any reserve fund provided under this section may be applied—

(a) in making good to the general rate fund any deficiency at any time happening in the income of the Corporation from the undertaking in connection with which it is formed; or

(b) in meeting any extraordinary claim or demand at any time arising against the Corporation in respect of that undertaking; or

(c) (subject in the case of the electricity undertaking to the consent of the Electricity Commissioners as respects expenditure chargeable to capital account) in or towards the payment of the cost of renewing improving or extending any works forming part of the undertaking or otherwise for the benefit thereof;

and so that if that fund be at any time reduced it may thereafter be again restored to the prescribed maximum and so from time to time as often as such reduction happens.

(4) Resort may be had to a reserve fund provided under this section although such fund may not at the time have reached or may have been reduced below the prescribed maximum.

Surplus
electricity
revenue.

62 & 63 Vict.
c. 19.

16 & 17 Geo. 5.
c. 51.

6.—(1) In lieu of the provisions of subsection (1) of section 7 of the schedule to the Electric Lighting (Clauses) Act 1899 and of section 43 of and the Fifth Schedule to the Electricity (Supply) Act 1926 the following provisions shall apply with respect to the electricity undertaking of the Corporation (namely):—

If in respect of any year the moneys received by the Corporation on account of the revenue of the undertaking (including the interest and annual proceeds received by the Corporation in that year on the investments representing or forming part of any such fund as is referred to in paragraph (b) of subsection (1) of section 3 (Receipts and expenses) of this Act provided in connection with the undertaking) shall exceed the aggregate of the moneys paid or expended by the Corporation in respect of the undertaking for the several purposes mentioned in paragraphs (a) (b) (c) (d) (e) and (f) of subsection (1) of section 4 (Accounts) of this Act then—

(a) if the reserve fund in respect of the electricity undertaking does not amount to more than one-twentieth of the aggregate capital expended for the time being upon the undertaking the charges for electricity supplied by the Corporation shall be reduced by such amount or respective amounts as will as nearly as reasonably practicable be equivalent in the aggregate to the said excess;

(b) if the said reserve fund amounts to more than one-twentieth of the said aggregate capital the Corporation shall fix such amount as they may think fit (not being less in any case in which the said excess is more than a sum equal to one and a half per centum of the outstanding debt of the undertaking than the difference between that sum and the said excess) and the charges for electricity supplied by the Corporation shall be reduced by such amount or respective amounts as will as nearly as reasonably practicable be equivalent in the aggregate to the amount so fixed.

(2) The Corporation shall in every year so long as any reserve fund provided in respect of the electricity undertaking is less than the prescribed maximum transfer to that reserve fund out of the general rate fund an amount equal to the interest and other annual proceeds received by the Corporation in respect of all investments forming part of the said reserve fund and carried to the general rate fund,

7.—(1) The Corporation may pay into the consolidated loans fund authorised by section 154 of the Act of 1931 any moneys forming part of any reserve renewals repairs depreciation contingency insurance superannuation or other similar fund (hereinafter referred to as "the lending fund") and not for the time being required for the purposes thereof and such moneys shall be deemed to be moneys borrowed by the Corporation within the meaning of subsection (1) of that section and may be used accordingly subject to the following conditions:—

Further provisions as to consolidated loans fund.

(a) The moneys so used shall be repaid to the lending fund as and when required for meeting the obligations for which that fund was established; and

(b) There shall be paid out of the consolidated loans fund to the general rate fund an amount equal to the interest on any moneys so used and for the time being not repaid at such rate per centum per annum as may be determined by the Corporation to be equal as nearly as may be to the average rate of interest payable by the Corporation on their current borrowings and in the accounts of the general rate fund an amount equal to the interest as aforesaid (subject in the case of any of the said funds to any prescribed limit on the amount thereof) shall be credited to the lending fund.

(2) Any scheme approved by the Minister of Health under the said section 154 may be amended or revoked by a scheme made and approved in like manner as the original scheme.

8.—(1) The Corporation shall have power to borrow without the consent of any sanctioning authority the sum or sums requisite for the payment of the costs charges and expenses of this Act and they shall pay off all moneys so borrowed within such period as the Corporation may determine not exceeding five years from the passing of this Act:

Power to borrow.

Provided that so long as the making of an issue of capital in the United Kingdom without the consent of the Treasury is prohibited by regulations made under the Emergency Powers (Defence) Acts 1939 and 1940 it shall not be lawful to exercise the powers of borrowing conferred by this section without such consent.

(2) The provisions of Part IX of the Local Government Act 1933 so far as they are not inconsistent with this Act shall extend and apply to money borrowed under this section as if it were borrowed under Part IX of that Act and the period fixed for the repayment of any money borrowed under this section shall as respects that money be the fixed period for the purpose of the said Part IX.

Repeal.

9.—(1) Section 38 (Application of pier revenue) and section 39 (Deficiency of pier revenue to be charged on borough fund) of the Gillingham Pier Order 1912 and section 166 (Application of revenue and payment of expenses of undertaking) section 167 (Application of Electricity (Supply) Act 1926) section 168 (Accounts) and section 170 (Reserve funds for Corporation's undertakings) of the Act of 1931 are hereby repealed.

(2) Notwithstanding the repeal of section 38 of the said Order of 1912 the Corporation may continue to exercise the powers of that section in reference to the payment of a contribution towards a band of music playing on the pier and the provision of concerts or entertainments thereon and subscribing towards the funds of any regatta or fête held in the immediate vicinity of the pier.

Costs of Act.

10. All the costs charges and expenses preliminary to, and of and incidental to the preparing applying for obtaining and passing of this Act as taxed by the taxing officer of the House of Lords or of the House of Commons shall be paid by the Corporation.

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